

Over the years, Richard Thaler had the good fortune to study and collaborate with Kahneman and Tversky as well as several other academics in the field of behavioral finance. He has written several articles on decision making, many of which can be found in his popular book, *The Winner's Curse: Paradoxes and Anomalies of Economic Life* (Free Press, 1992). However, Thaler is best known for his 1995 article titled "Myopic Loss Aversion and the Equity Risk Premium," cowritten with Shlomo Benartzi, professor and cochair of the behavioral decision-making group at the University of California at Los Angeles Anderson School of Management. In their article, Thaler and Benartzi took loss aversion described in Kahneman and Tversky's prospect theory and connected it directly to the stock market.

Thaler and Benartzi were puzzled by one central question: Why would anyone with a long-term horizon want to own bonds over stocks when they know that stocks have consistently outperformed? The answer, they believed, rested on two central concepts from Kahneman and Tversky. The first was loss aversion, which we have already explored. The second was a behavioral concept called mental accounting, which describes the methods people use to code financial outcomes. It refers to our habit of shifting our perspective on money as surrounding circumstances change. We tend to mentally put money into different "accounts," and that determines how we think about using it.

A simple situation will illustrate. Let us imagine that you have just returned home from an evening out with your spouse. You reach for your wallet to pay the babysitter, but discover that the \$20 bill you thought was there is not. So, when you drive the sitter home you stop by an ATM machine and get another \$20. Then the next day you discover the original \$20 bill in your jacket pocket.

If you're like most people, you react with something like glee. The \$20 in the jacket is found money. Even though the first \$20 and the second \$20 both came from your checking account, and both represent money you worked hard for, the \$20 bill you hold in your hand is money you didn't expect to have, and you feel free to spend it frivolously.

Once again, Richard Thaler provides an interesting academic experiment to demonstrate this concept. In his study he started with two groups of